

China healthcare

EQUITY: HEALTH CARE & PHARMACEUTICALS

MNCs' June-quarter results read-through (1)

In general, operations in China saw a sluggish quarter

GSK (GSK LN, Not rated)

On 28 July (local time), GSK released its 2Q26 results with sales/net income rising by 5%/8% y-y to GBP8.4bn/2.0bn. Nucala (mepolizumab)'s 2Q26 international sales were up 18% y-y, partially driven by its majority share of bio-naïve patients in COPD and ideal listing in severe asthma and nasal polyps in China.

For its ris-rez and mo-rez, a B7-H3 ADC and a B7-H4 ADC that it licensed in from Hansoh (3692 HK, Neutral), management: 1) highlighted that Hansoh's phase III study (ARTEMIS-008) for ris-rez in patients with 2L small cell lung cancer has met primary endpoint with improved overall survival (OS) and expects the data will be published by end of 2026E. It expects pivotal data from its global phase III EMBOLD SCLC-301 trial in relapsed extensive-stage small cell lung cancer (ES-SCLC) in 2027E and also plans to initiate additional phase III studies in lung and prostate cancers for ris-rez in 2026E, and 2) plans to initiate five phase III pivotal trials for moz-rez: two (BEHOLD-Ovarian01 and BEHOLD-Endometrial01) are now actively recruiting patients, while the other three are expected to start later in 2026E.

AstraZeneca (AZN LN, Not rated)

On 27 July (local time), AstraZeneca released its 2Q26 results. Revenue/earnings increased 6%/2% y-y to USD15.4bn/2.51bn.

The company's China sales declined 7% y-y (13% excluding FX impact) to USD1.59bn in 2Q26 (China accounts for 10% of its global sales, down from a peak of c.20%). During the earnings call, management mentioned that performance was impacted by continued volume-based procurement (VBP) impact. Management also remained positive on the FY26E growth outlook based on the recent National Reimbursement Drug List (NRDL) additions and new regulatory approval.

Management also mentioned that the company is trying to solidify the osimertinib franchise (see our report: *China healthcare - National Essential Medicines List (2026 edition) released*), even though competition has intensified in a slowing EGFRm TKI market in China.

Management highlighted that sonositatug vedotin, a Claudin 18.2 ADC that the company in-licensed from Keymed (2162 HK, Not rated) and Lepu Bio (2157 HK, Not rated), had positive OS data from phase III results in advanced gastric cancer.

Roche (ROG SW, Not rated)

On 23 July (local time), the company released its 2Q26 results: By region, China pharmaceutical sales slumped 33% y-y to CHF522mn, and diagnostic sales further retreated 15% y-y (vs -21% y-y in 1Q26) to CHF390mn in 2Q26.

For the diagnostic segment, management mentioned China sales were still negatively impacted by healthcare pricing reforms. However, management reaffirmed this impact will be lessened in 2H26E.

Thermo Fisher (TMO US, Not rated)

On 23 July (local time), the company released its 2Q26 results: sales/adjusted earnings rose 10%/7% y-y to USD12bn/1.7bn. By business segment, life sciences solutions/analytical instruments/specialty diagnostics/laboratory products and biopharma services revenue went up 14%/7%/6%/12% y-y to USD2.8bn/1.8bn/1.2bn/6.7bn in 2Q26.

According to management, China sales resumed growth at a low-single digit rate in 2Q26. Management commented it observed the same market conditions as 1Q26: buoyant

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demand from pharma and biotech and low demand from academic and government customers.

Lonza (LONN SW, Not rated)

On 22 July (local time), the company released its 1H26 results: sales increased 16.0% to CHF3.4bn and net profit went up 40% y-y to CHF595mn. The company's three CDMO business segments' growth was robust: integrated biologics/advanced synthesis/specialized modalities sales registered 10%/28%/23% y-y growth to CHF1.87bn/834mn/553mn in 1H26.

For the company's FY26E outlook, management reaffirmed sales growth (on a constant exchange rate) of 11-12% y-y and lifted its core EBITDA margin to 33-34% (vs 32% earlier).

Intuitive Surgical (ISRG US, Not rated)

On 21 July (local time), the company released its 2Q26 results: sales/earnings grew 19%/24% to USD2.89bn/818mn. In 2Q26, instruments and accessories revenue increased by 18% y-y to USD1.73bn, driven by c.15%/36% growth in Da Vinci/Ion procedure volume.

According to management, growth of Da Vinci procedures in China was slightly above the global average. However, the China market environment remains challenging with lower tender activity, increased domestic robotic competition and governance campaign.

Regarding upcoming centralized procurement for imaging and other surgical equipment, management expects that surgical robotics might be included; however, this tender centralization is not similar to VBP, considering the government wants to reinforce tender demand for strong robotic programs.

Novartis (NOVN SW, Not rated)

On 21 July (local time), Novartis released its 2Q26 results indicating that sales edged up 1% y-y to USD14.4bn, while net income declined 19% y-y to USD3.3bn.

The company's China sales grew 12% y-y (6% excluding FX impact) to USD1.2bn in 2 Q26. Management attributed the growth to Leqvio (inclisiran)'s strong uptake post-NRDL inclusion, with doubled market-share (vs pre-NRDL levels), offsetting a decline in Cosentyx (secukinumab) sales under rising competition.

Danaher (DHR US, Not rated)

On 21 July, the company released its 2Q26 results: sales increased 5.5% y-y to USD6.3bn and net earnings jumped 57% y-y to USD870mn.

During the earnings call, management mentioned China revenue maintained mid-single digit growth in 2Q26, on the back of: 1) another quarter of solid sales growth in biotech segment and 2) a moderate decline but sequential improvement in the diagnostics segment, thanks to stabilized pricing and improved volumes. Management also expects policy headwinds to further lessen in 3Q/4Q26E.

Abbott (ABT US, Not rated)

On 16 July (local time), the company released its 2Q26 results: sales/adjusted earnings rose 13%/3.5% to USD12.6bn/2.3bn.

For its diagnostics business, sales were still affected by the VBP impact. In the earnings call, management stated that it still expects a decline in China diagnostics sales in 2H26E but at a milder (c.mid-single-digit) pace.

Appendix A-1

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